AGA KHAN UNIVERSITY EXAMINATION BOARD

SECONDARY SCHOOL CERTIFICATE

CLASS X

ANNUAL EXAMINATIONS (THEORY) 2025

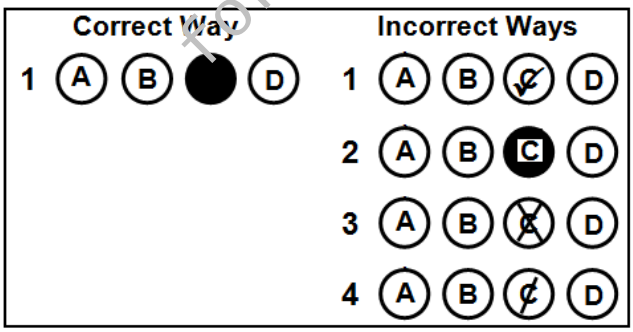
Principles of Accounting Paper I

Time: 55 minutes Marks: 30

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INSTRUCTIONS

1. Read each question carefully.
2. Answer the questions on the separate answer sheet provided. DO NOT write your answers on the question paper.
3. There are 100 answer numbers on the answer sheet. Use answer numbers 1 to 30 only.
4. In each question, there are four choices A, B, C, D. Choose ONE. On the answer grid, black out the circle for your choice with a pencil as shown below.



Candidate's Signature

5. If you want to change your answer, ERASE the first answer completely with a rubber, before blacking out a new circle.
6. DO NOT write anything in the answer grid. The computer only records what is in the circles.
7. You may use a simple calculator if you wish.
8. Wherever new terminologies are mentioned their old terminologies are mentioned in the brackets for your assistance.

1. The details are related to the production plant of Hiba Automobiles as on January 01, 2022 as under:

Particulars	Amount (Rs)
Production plant cost	Rs 2,500,000
Provision (allowance) for depreciation	Rs 700,000
Production life in hours	1,000,000 hours
Hours worked during 2022	70,000 hours

Hiba Automobiles uses working hours method for charging depreciation.

The amount of depreciation to be charged on the production plant during 2022 would be

A. Rs 28,000
B. Rs 175,000
C. Rs 728,000
D. Rs 875,000

2. Following details are related to assets of Paras Associates as on June 30, 2022:

Particulars	Amount (Rs)
Cost of computer (old)	160,000
Provision (allowance) for depreciation	85,000
Trade in allowance	80,000
Cost of computer (new)	190,000

From the given situation, the CORRECT amount of cash to be paid and the gain or loss on disposal would be

	Cash to be Paid	Gain or Loss on Disposal
A	Rs 110,000	Rs 5,000 gain
B	Rs 110,000	Rs 5,000 loss
C	Rs 75,000	Rs 5,000 gain
D	Rs 75,000	Rs 5,000 loss

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3. United Manufacturing purchased a machine for Rs 2,000,000. It has an expected useful life of 300,000 working hours, with a production capacity of 3 million units, and an estimated salvage value of Rs 500,000.

   If the machine is consumed for 4,500 hours annually, then the annual amount for depreciation would be

   A. Rs 45,000
   B. Rs 22,500
   C. Rs 13,500
   D. Rs 9,000

4. The reason for charging Provision (allowance) for bad debts (doubtful debts) in a business is to

   A. ascertain net value of non-current (fixed) assets.
   B. recover risk or credit management.
   C. maintain control over purchases.
   D. cover business uncertainty.

5. Which of the following describes 'aging method' of recording bad debts (doubtful debts)?

   A. Estimating bad debts as a fixed percentage of total annual sales
   B. Recording bad debts only when an account is confirmed to be uncollectible
   C. Computing bad debts based on a customer's payment history over several years or previous deals with the business
   D. Classifying trade receivables (account receivables) by the length of time outstanding with an increasing uncollectible rates applied to older debts

6. Alpha Electronics sells products to customers on credit and uses the 'aging method' to estimate its bad debts at the end of each accounting period.

   At the end of the current year, the aging report reflects

   - **0–30 days**: Rs 40,000 (1% estimated uncollectible)
   - **31–60 days**: Rs 20,000 (5% estimated uncollectible)
   - **61–90 days**: Rs 15,000 (10% estimated uncollectible)
   - **Over 90 days**: Rs 10,000 (20% estimated uncollectible)

   Based on given information, the amount recorded for 'total bad debt (doubtful debts) expense' for the year would be

   A. Rs 2,400
   B. Rs 3,400
   C. Rs 4,200
   D. Rs 4,900

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7. The accounting statement that reflects the net worth of a business is a/ an

   A. trial balance.
   B. bank statement.
   C. income statement.
   D. statement of financial position (balance sheet).

Use the given information to answer Q.8, Q.9 and Q.10.

The following balances are extracted from the books of Alamgir Traders:

Particulars	**Amount (Rs)**
Salary expense	300,000
Unearned commission	200,000
Prepaid advertisement	100,000

Data for adjustment

Salary for the fiscal year is Rs 250,000
Unearned commission at year-end is Rs 25,000
Annual advertisement expenses are Rs 75,000

8. With reference to the given information, the amount of salary expense reported in the income statement of the Alamgir Traders would be

   A. Rs 50,000
   B. Rs 200,000
   C. Rs 250,000
   D. Rs 300,000

9. With reference to the given information, the amount of commission income reported in the income statement of the Alamgir Traders would be

   A. Rs 25,000
   B. Rs 175,000
   C. Rs 200,000
   D. Rs 225,000

10. With reference to the given information, the amount of prepaid advertisement reported in the statement of financial position (balance sheet) of the Alamgir Traders would be

    A. Rs 25,000
    B. Rs 75,000
    C. Rs 100,000
    D. Rs 175,000

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11. Following is the pre-adjusted extract of trial balance of a business for the year 2024:

Account Title	Amount (Rs)
Salary expense	24,000
Prepaid rent	36,000
Commission income	12,000

Data for adjustment:

Rent was paid on July 02, 2024 for twelve months.

In the statement of financial position (balance sheet), the prepaid rent will be reflected as

A. current asset of Rs 18,000
B. current asset of Rs 36,000
C. current liability of Rs 18,000
D. current liability of Rs 36,000

12. Increase in depreciation expense during a year will lead to decrease in all of the following EXCEPT

A. net profit.
B. total assets.
C. total expenses.
D. net non-current (fixed) assets.

13. Aleem traders initiated with an initial capital of Rs 300,000. During the year, they withdrew Rs 15,000 and additionally invested Rs 25,000.

If the net income of the business is Rs 75,000, then the amount of ending capital would be

A. Rs 360,000
B. Rs 365,000
C. Rs 385,000
D. Rs 400,000

14. The following data has been extracted from the books of Al-Hamra Traders:

Particulars	Amount (Rs)
Purchase	100,000
Purchase return	15,000
Purchase discount	10,000

The net purchase of the firm is

A. Rs 75,000
B. Rs 85,000
C. Rs 115,000
D. Rs 125,000

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15. If a product costs Rs 100, then the selling price with a 25% mark-up would be

    A. Rs 75
    B. Rs 125
    C. Rs 100
    D. Rs 150

16. For incomplete accounting records, the 'income statement' is known as

    A. bank statement.
    B. statement of affairs.
    C. cash flow statement.
    D. statement of profit and loss.

17. The following are account balances of Amna Traders.

Account Title	Amount (Rs)
Capital opening balance	55,000
Capital closing balance	80,000
Drawing during the year	5,000
Additional investment during the year	42,000

    The net profit or loss based on the given information will be

    A. Rs (12,000)
    B. Rs (72,000)
    C. Rs 62,000
    D. Rs 97,000

18. Different financial statements are used in reflecting different business organisations' financials.

    With reference to its usage, the 'statement of affairs' is prepared for

    A. the single entry system.
    B. a company's financial statement.
    C. the final accounts of NPO (non-profit organization).
    D. data extraction from MNC's (multinational company) trial balance.

Use the given information to answer Q.19 and Q.20.

An amount of Rs 175,000 received from Allied Traders was wrongly entered as the amount received from Allied Associates.

19. The given error is classified as an

    A. error of principle.
    B. error of commission.
    C. error of original entry.
    D. error of complete reversal.

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20. The general journal entry for correcting the given error would be

	Particulars	P.R.	Debit	Credit
A	Trade receivable (account receivable) (Allied Traders)		175,000	
	Trade receivable (account receivable) (Allied Associates)			175,000
B	Trade receivable (account receivable) (Allied Associates)		175,000	
	Trade receivable (account receivable) (Allied Traders)			175,000
C	Trade receivable (account receivable) (Allied Associates)		175,000	
	Cash			175,000
D	Trade receivable (account receivable) (Allied Traders)		175,000	
	Cash			175,000

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21. If the sales revenue of business organisation is overstated, then this will

A. overstate the total asset.
B. overstate the total equity.
C. understate the gross profit.
D. understate the net profit.

22. The debit side of the trial balance of a business is Rs 10,000 more than the credit side and also the balance of the credit side is the correct or the actual balance.

    If the items (account titles) in the statement of financial position (balance sheet) are correctly reflected, then the given error will be because of the

    (**Note**: For the given scenario, ignore the contra accounts.)

    A. overstatement of a revenue.
    B. understatement of a revenue.
    C. overstatement of an expense.
    D. understatement of an expense.

23. The accounting nature of a 'suspense account' is a

    A. personal account.
    B. temporary account.
    C. contra asset account.
    D. non-transactional account.

24. If an item of sales return worth Rs 20,000 is wrongly entered as purchases, then gross profit of the business will

    A. not be affected.
    B. increase by Rs 20,000.
    C. decrease by Rs 20,000.
    D. be affected by double amount.

25. The term used for 'capital' in NPO (non-profit organisation) is known as

    A. grants.
    B. deficit.
    C. surplus.
    D. accumulated fund.

26. With reference to accounting for NPO (non-profit organization), preparing accounts on a single entry basis, the task of preparing an 'income and expenditure account' and 'statement of financial position (balance sheet)' begins after the preparation of

    A. profit and loss account.
    B. trading account.
    C. cash account.
    D. trial balance.

27. With reference to accounting for NPO (non-profit organization), 'income and expenditure account' generally indicates

    A. capital fund.
    B. cash balance.
    C. net profit/ loss.
    D. surplus/ deficit.

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Use the given information to answer Q.28 and Q.29.

The following details related to subscription account of a NPO (non-profit organisation) are as under:

Account Title	Amount (Rs)
Subscription received	38,500
Subscription received in advance	3,000
Accrued subscription	4,800

28. The amount of subscription income that will be shown in the income statement of the NPO (non-profit organisation) would be

A. Rs 30,700
B. Rs 36,700
C. Rs 40,300
D. Rs 46,300

29. The amount of subscription that will be shown under the asset and liability sections of the statement of affairs (balance sheet) would be

	Assets	Liabilities
A	subscription received in advance of Rs 3,000	accrued subscription of Rs 4,800
B	subscription received in advance of Rs 3,000 accrued subscription of Rs 4,800	not to be shown
C	not to be shown	subscription received in advance of Rs 3,000 accrued subscription of Rs 4,800
D	accrued subscription of Rs 4,800	subscription received in advance of Rs 3,000

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30. *Danish Kada*, a community-based reading room sold an unreadable reading material.

With reference to the 'statement of income and expenditures', the fund generated from the sales should be categorised as

A. asset.
B. profit.
C. capital receipt.
D. revenue receipt.

END OF PAPER

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